KT

"The Value Networking Company"

“ Life after Privatization”

September, 2002

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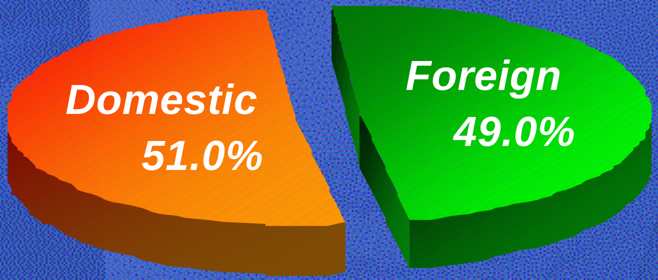
Discussion Agenda

I. Management's Initiatives for Shareholders

II. Operational Aspects

Enhancing Corporate Governance

Completion of Privatization



- Successfully disposed the entire government stake within just 3 years

EGM

- **Strengthen Independence of BOD**
  - Increase outside directors from 7 to 9
  - Appoint a foreign outside director
- **Professional & Responsible Management**
  - Transparent CEO nomination process
  - Performance based incentive system
- **Protection of Minority Shareholders**
  - Adopt cumulative voting right
  - Increase effective foreign ownership limit

Continuing to Deliver Commitment to Shareholders

Foreign Ownership Limit

EB/BW 11.8%

✓ Not Counted in foreign ownership until converted

Foreign 37.2%

✓ Direct purchase through the KSE (5%)

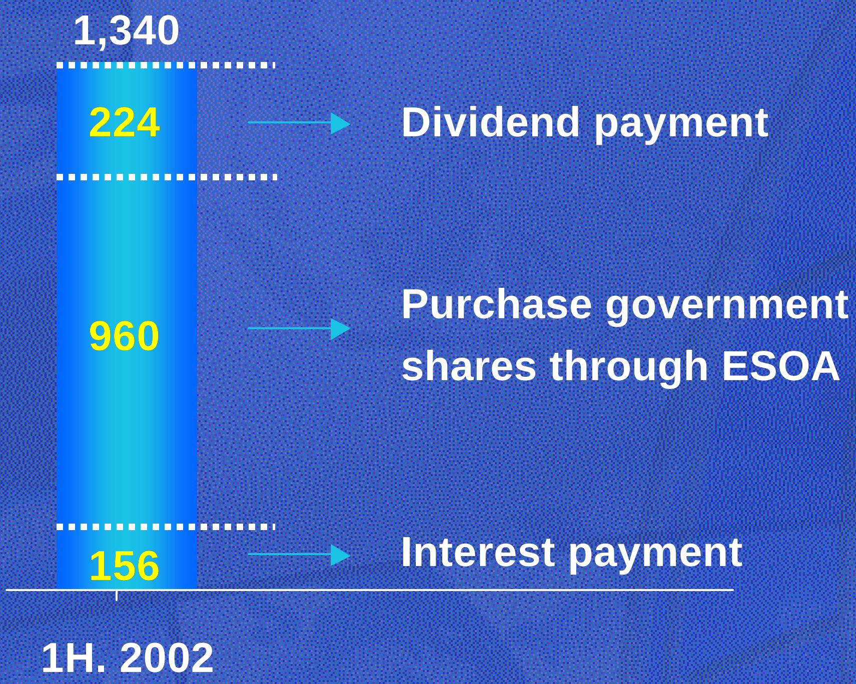
✓ ADRs (32.2%)

Share Buyback & Cancellation

Appropriate Usage of Free Cash Flows

*Operational Free Cash Flows**

(KRW Billion)



** Net Operating Profit less Adjusted Tax + D&A – Capex- Changes of Working Capital*

Usage of FCF

- Share Buyback & Cancellation
- Increase Dividend
- Interest Payment
- Payment of Debt

Key Remaining Issues

Dealing with SKT Issue

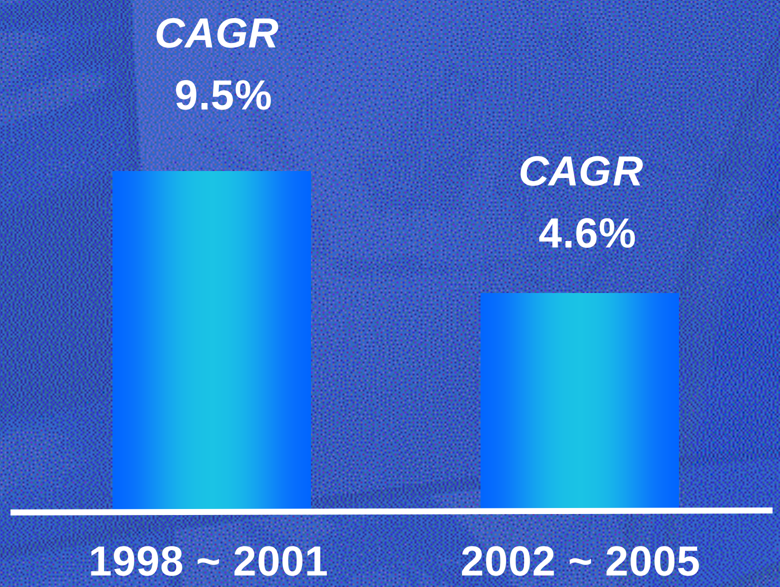
- SKT still holds 9.6% of KT shares
- Continue to propose equity swap to SKT

KTF & KT ICOM Merger

- *Merger Committee* to minimize the dilution impact to protect shareholders' value
- *Fixed-Wireless Investment Coordination Committee* to make optimal capital investment decision

New CEO Business Target

Domestic Fixed-Line Market Forecast



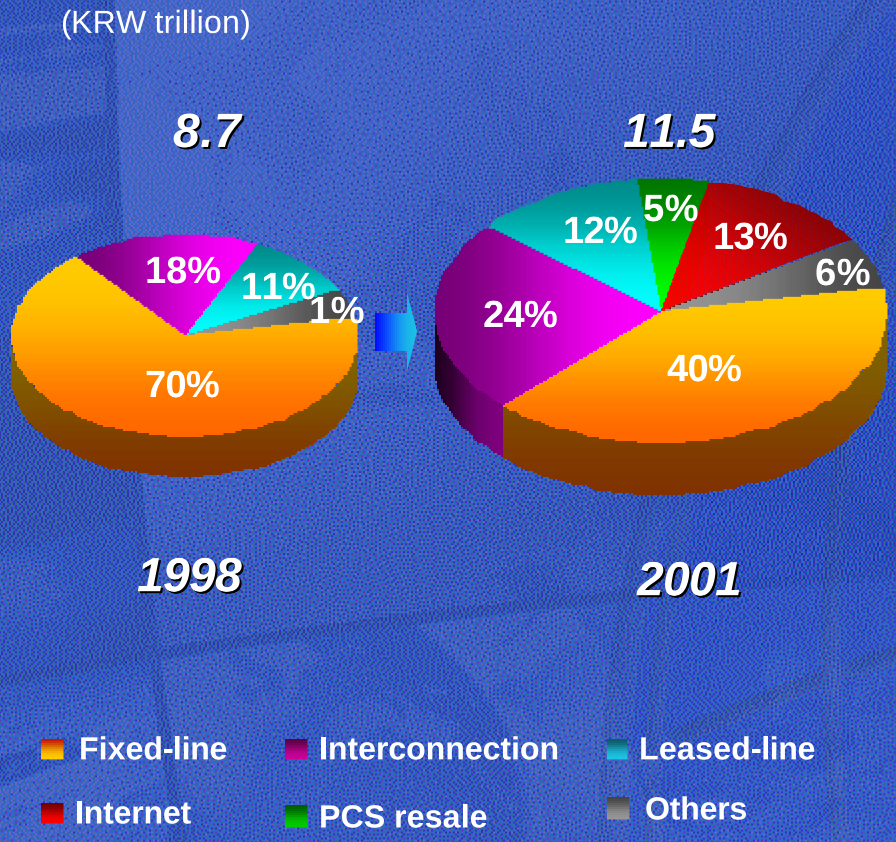
• Source: KISDI
(Korea Information Society Development Institute)

Tenure Goal 2005

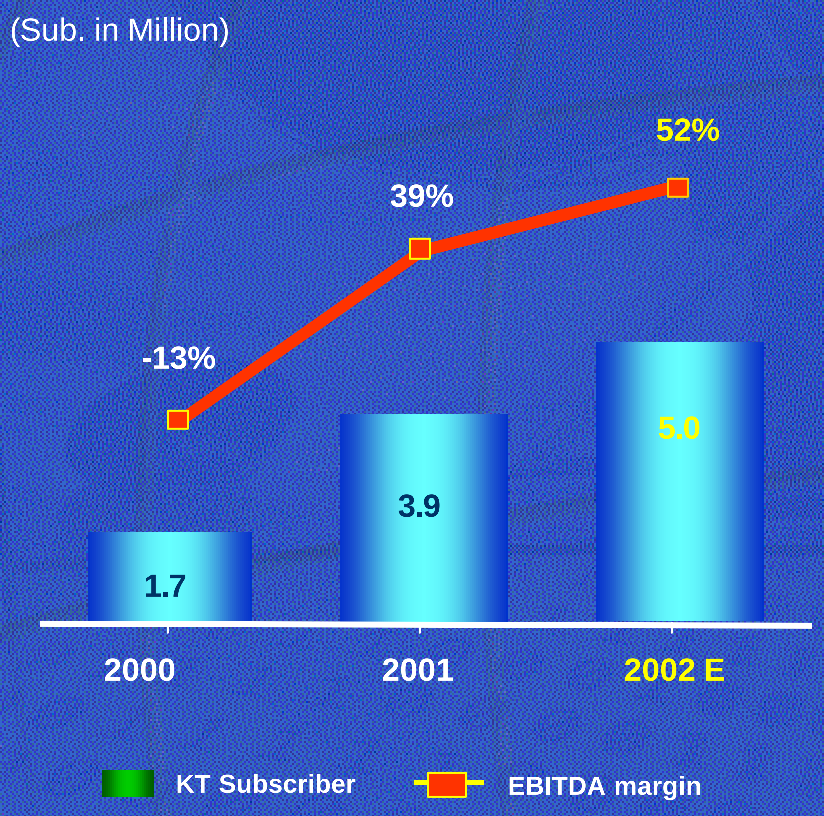
Revenue Target	KRW 14.76 trillion
Operating Income Over Assets	12%

Continuous Growth by Core Business

Business Portfolio



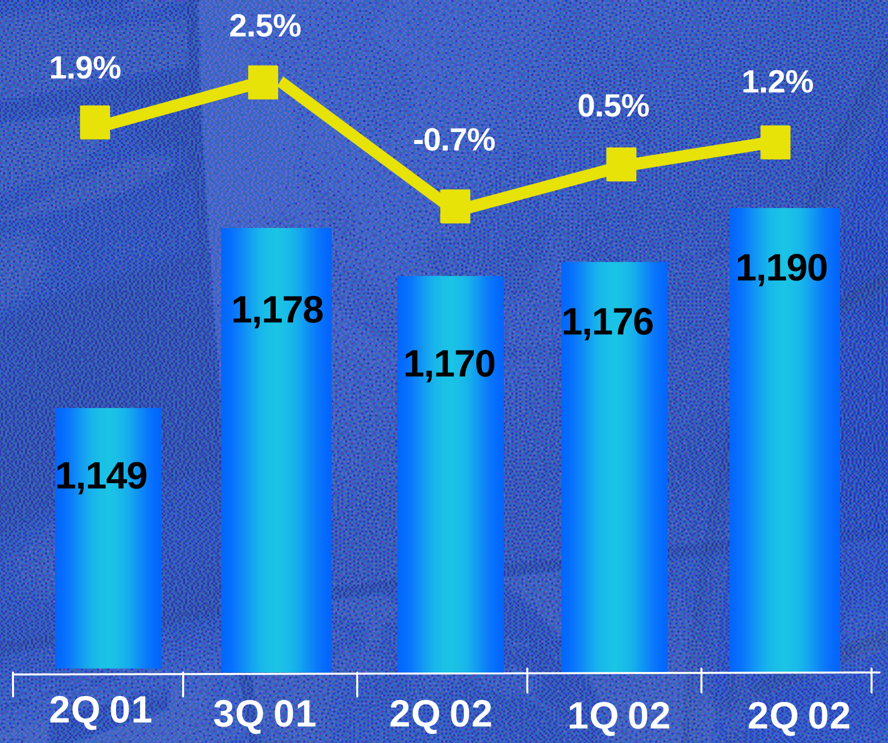
Future Growth Engine : Broadband



Stabilizing Fixed-Line Revenue

Fixed-Line Revenues

(KRW Bn)



Reasons for Stabilization

- Softening mobile substitution
- Rate re-balancing
- Expand value-added services
  - Flat-Rate Call, HomePlus Phone, 700 Info Service, Caller ID, etc.

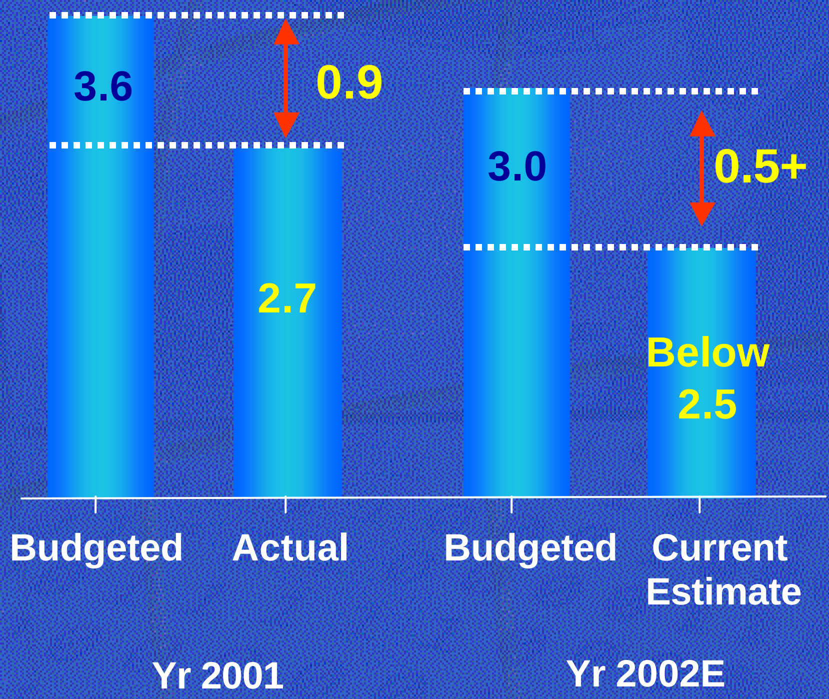
Efficient CAPEX Control to increase Profitability

Efforts to cutting CAPEX

- Investment Coordination Committee
- Fixed - Wireless Integration Committee

Tight CAPEX Control

(KRW trillion)



New Management Paradigm

Management's Initiatives for Shareholders

Focus on Core Business

Tight CAPEX Control

"Maximizing shareholders' Value"

"The Value Networking Company"

Thank you